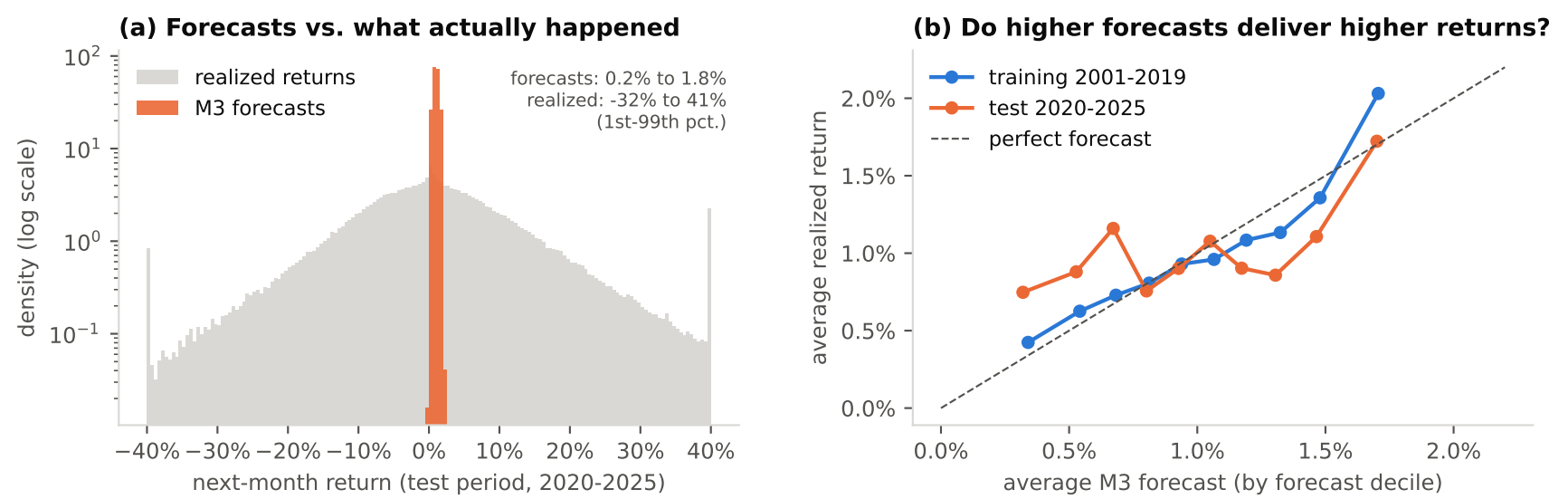
(a) Forecasts vs. what actually happened
realized returns
M3 forecasts
forecasts: 0.2% to 1.8%
realized: -32% to 41%
(1st-99th pct.)
density (log scale)
$10^2$
$10^1$
$10^0$
$10^{-1}$
−40%
−30%
−20%
−10%
0%
10%
20%
30%
40%
next-month return (test period, 2020-2025)
(b) Do higher forecasts deliver higher returns?
training 2001-2019
test 2020-2025
perfect forecast
average realized return
2.0%
1.5%
1.0%
0.5%
0.0%
average M3 forecast (by forecast decile)